

Problem Statement:

Improving Customer Retention in a Subscription-Based Business

Your company, a mid-sized subscription-based streaming service, has seen a steady growth in acquiring new customers. However, the churn rate (percentage of customers who cancel their subscription) has increased by 15% over the past year.

Current Situation:

- Marketing efforts are focused on acquiring new users, with a budget allocation of 80% toward acquisition campaigns and 20% toward retention strategies.
- User feedback indicates dissatisfaction with content variety and pricing, but no deep analysis has been conducted.
- The competition in the streaming industry has intensified, with several new players entering the market offering cheaper or free alternatives.

Key Challenges:

1. Identifying the root causes of customer churn.
2. Balancing the investment between customer acquisition and retention for maximum profitability.
3. Developing actionable strategies to reduce churn while maintaining operational efficiency.

Desired Outcome:

Create a structured framework to analyze the issue, propose evidence-based strategies, and forecast the impact of changes to improve customer retention by at least 20% in the next year.

Submit the solution in a pdf or docx file format